

COMPARATIVE FINANCIAL ANALYSIS

Hindustan Aeronautics Limited

vis-à-vis Dassault Aviation and Lockheed Martin

Strategic Focus Areas for HAL

A financial and strategic benchmarking review

Analysis window: HAL FY2022–FY2026 | Dassault & Lockheed Martin 2021–2025

Prepared in the context of an internship with HAL's LCA Tejas Division

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1. Executive Summary

This report benchmarks Hindustan Aeronautics Limited (HAL) against two reference points in the global combat-aircraft ecosystem: Dassault Aviation of France — maker of the Rafale and HAL's most directly discussed competitor in Indian defence discourse — and Lockheed Martin of the United States, the world's largest pure-play aerospace and defence company. The comparison spans five financial years and is deliberately ratio-led, because the three firms report in three currencies (INR, EUR, USD), under three accounting frameworks (Ind AS, IFRS, US GAAP), and at very different scales: Lockheed's revenue is roughly nineteen times HAL's, while Dassault's is roughly twice HAL's.

The central conclusion is that **HAL is, on a margin and balance-sheet basis, the strongest of the three companies** — but that strength rests on a narrow, single-customer, licence-and-government-funded revenue base whose growth, R&D and value-chain economics look materially different from those of its private-sector peers. The strategic task for HAL is to convert a protected, highly profitable position into a globally competitive one, and the financial levers for doing so are identifiable and specific.

1.1 Headline scorecard

Dimension	HAL	Dassault	Lockheed Martin
Net profit margin (latest)	27.5%	14.3% (rep.)	6.7%
Underlying margin quality	High	Moderate (ex-Thales ~7%)	Low / eroding
Revenue CAGR (5-yr)	7.7%	0.7% (lumpy)	2.9%
Balance sheet	Net cash, ~debt-free	Net cash	Net debt ~1.9–2.1× EBITDA
Return quality (ROA)	6.9%	~9%	9.1%
Working-capital efficiency	Weak	Moderate	Strong
Diversification	Low	Low–moderate	High

Table 1 — Headline comparison. Grades and adjustments are explained in Sections 5 and 6.

1.2 Key takeaways

- **Profitability leadership.** HAL's net margin rose from ~21% to ~27% over the window — above Lockheed (~7–10% and falling) and above even Dassault once Dassault's large Thales equity-income contribution is stripped out.
- **Fortress balance sheet.** HAL is effectively debt-free with a substantial net-cash buffer; Dassault is also net-cash, while Lockheed runs real leverage and a buyback-thinned equity base that inflates its reported ROE.
- **Fastest, steadiest growth.** HAL delivered the strongest revenue CAGR (~7.7%) with a record order book, while Dassault's revenue swings sharply with Rafale delivery timing.
- **Working capital is the weakness.** Inventory days near 780 and a cash-conversion cycle above 700 days lock up cash — the single largest internal efficiency lever and the one most directly tied to the Tejas ramp.

- **The R&D figure must be read carefully.** Much of the LCA/Tejas design base sits with government agencies (ADA, DRDO, GTRE) and is funded off HAL's books. On-books R&D therefore understates true effort; the real strategic issue is design-authority and IP ownership, not spend quantum.

Bottom line for management: HAL already converts its protected position into best-in-class margins and high-quality returns. To scale Tejas and win exports, the priorities are cash efficiency, supply-chain reliability, and moving up the IP/design-authority curve. Prioritised, sequenced recommendations follow in Section 10.

2. Industry Overview

2.1 The global aerospace & defence backdrop

The five years covered by this analysis have been among the most consequential for the global defence-industrial base in a generation. Three forces dominate. First, a structural rise in defence spending: the war in Ukraine, heightened tension in the Indo-Pacific, and conflict in the Middle East have pushed national defence budgets sharply higher, with NATO members re-committing to spending floors and Asian powers expanding procurement. Second, supply-chain fragility: shortages of aero-engines, precision castings, semiconductors and skilled labour have constrained delivery ramps industry-wide, so that the binding constraint for most primes has shifted from winning orders to physically building product. Third, intensifying competition in the light and medium fighter segment, where several manufacturers chase a finite pool of export campaigns.

The combined effect is a paradox that recurs throughout this report: order backlogs across the industry have reached multi-year highs even as the ability to convert those backlogs into deliveries has become the scarce capability. Backlog cover of two to three times annual revenue is now common; the firms that win are those that can translate it into throughput.

2.2 The Indian aerospace & defence sector

India occupies a distinctive position: it is simultaneously among the world's largest arms importers and the most assertive large economy pursuing self-reliance in defence manufacturing. The policy architecture — Atmanirbhar Bharat, Make in India, successive positive indigenisation lists restricting imports of specified items, and a rising domestic capital-acquisition budget — has created a powerful structural tailwind for HAL as the national aerospace champion.

The LCA Tejas sits at the centre of this agenda as the flagship indigenous fighter. Large Mk1A orders have been placed, with the Mk2 and the fifth-generation AMCA in the development pipeline, and HAL has also secured major rotary-wing (LCH Prachand) and engine orders. For HAL, the demand question is largely settled by policy; the open questions are industrial — production cadence, vendor ecosystem depth, and the degree of design ownership HAL holds over the platforms it builds.

A second feature of the Indian context matters financially: HAL's customer is overwhelmingly the Indian government, which both funds much of the underlying R&D (through DRDO/ADA) and provides large advances against long-cycle orders. This shapes HAL's balance sheet — large customer advances, big inventories and work-in-progress, near-zero external debt — in ways that differ structurally from a private prime funding its own development.

2.3 The fighter export market

Export competition is where the Tejas story becomes strategically live. In the medium segment, Dassault's Rafale has built a formidable export franchise (Egypt, Qatar, India, Greece, Croatia, the UAE, Indonesia, Serbia), and Saab's Gripen competes most directly with Tejas on price and segment positioning. The economics of an export franchise are instructive: large export advances fund production and smooth working capital, while ownership of platform IP allows the manufacturer to sell, upgrade and support the aircraft over a multi-decade lifecycle. These are precisely the dimensions on which HAL's Tejas must mature to compete.

2.4 Supply chain & throughput as the binding constraint

Across all three companies, the analysis that follows repeatedly returns to one theme: in an order-rich environment, financial performance is increasingly determined by manufacturing throughput and supply-chain resilience rather than demand. For HAL specifically, engine supply for Tejas and the depth of the Tier-2/Tier-3 domestic vendor base are the critical chokepoints, and they surface in the financials as elevated inventory and a long cash-conversion cycle.

2.5 Where the three firms sit relative to one another

Dassault and HAL share a near-identical core: order-book-driven fighter manufacturers with long-cycle, government-anchored revenue, conservative balance sheets, and a single flagship combat platform (Rafale; Tejas). Dassault adds a substantial civil business (Falcon jets) and a large equity stake in Thales. Lockheed Martin operates in a different weight class entirely — four diversified segments, roughly nineteen times HAL's revenue — and serves in this report as the benchmark for scale, programme diversification and capital-return discipline rather than as a like-for-like peer. Where a closer revenue-scale comparator is desired, Saab AB (Gripen) is the natural substitute and is referenced in the export discussion.

3. Company Profiles

3.1 Hindustan Aeronautics Limited

HAL is India's premier aerospace and defence public-sector undertaking, listed on the NSE and BSE with the Government of India holding approximately 71.6%. Its activities span fixed-wing manufacturing (the indigenous LCA Tejas and licence-built Su-30 MKI), rotary-wing platforms (ALH Dhruv, LCH Prachand), aero-engines and accessories, avionics, and a large repair-maintenance-overhaul (MRO) business supporting in-service fleets. Revenue is overwhelmingly domestic and defence-oriented, with the Indian Air Force, Army and Navy as anchor customers. HAL's reported segment disclosure shows a rising share of manufacturing (around a quarter of revenue and growing) relative to services.

Financially, HAL is characterised by high margins, a near-debt-free balance sheet, large customer advances, and substantial work-in-progress inventory — the signature of a long-cycle, advance-funded defence manufacturer operating on a captive domestic order base.

3.2 Dassault Aviation

Dassault Aviation manufactures the Rafale combat aircraft and the Falcon family of business jets, and is listed on Euronext Paris with the Dassault family group as controlling shareholder. It is the closest structural analogue to HAL — an order-book-driven fighter house with conservative finances — but with two important differences: a substantial civil (Falcon) business that adds cyclical and a different margin profile, and an approximately 25% equity stake in the defence-electronics group Thales whose earnings flow through Dassault's income statement via the equity method and materially lift reported net income. Dassault also recognises export Rafale contracts in their entirety, including the Thales and Safran content, which inflates both its revenue base and its reported margins relative to a pure airframe manufacturer.

3.3 Lockheed Martin

Lockheed Martin is the world's largest pure-play defence contractor, headquartered in Bethesda, Maryland, and listed on the NYSE. Its four reporting segments — Aeronautics (home of the F-35), Missiles & Fire Control, Rotary & Mission Systems, and Space — give it a diversification and scale that neither HAL nor Dassault approaches, together with a record backlog around \$194 billion. Lockheed's financial signature is the mirror image of HAL's in several respects: lower and eroding margins (pressured by fixed-price classified-program charges), meaningful net debt, an aggressive multi-year buyback programme that has thinned its equity base, and high cash returns to shareholders. It is included as the global efficiency, scale and capital-discipline benchmark.

	HAL	Dassault Aviation	Lockheed Martin
Country	India	France	United States
Listing	NSE / BSE	Euronext Paris	NYSE
Currency	INR (₹ cr)	EUR (€ m)	USD (\$ m)
Accounting	Ind AS	IFRS	US GAAP
Year-end	31 March	31 December	31 December
Latest revenue	≈ ₹33,089 cr	≈ €7.4 bn	≈ \$75.0 bn

	HAL	Dassault Aviation	Lockheed Martin
USD-equiv revenue	≈ \$3.9 bn	≈ \$8.0 bn	≈ \$75.0 bn
Flagship	LCA Tejas	Rafale	F-35 Lightning II
Other lines	Su-30 MKI, ALH/LCH, engines, MRO	Falcon business jets, Thales stake	Missiles, Space, Rotary/Mission
Ownership	Govt. of India ~71.6%	Dassault family / Groupe	Widely held; large buybacks

Table 2 — Company snapshot. USD conversions indicative, at approximate average rates for the latest reported year (USD/INR ≈ 85; EUR/USD ≈ 1.08).

4. Methodology & Data

All figures are drawn exclusively from public-domain sources. HAL data derive from its BSE/NSE filings and annual reports (FY2022–FY2026); Dassault from its annual financial reports, financial releases and investor highlights (2021–2025); and Lockheed Martin from its SEC filings and earnings releases (2021–2025). Computed ratios were cross-checked against Screener.in, Macrotrends and Marketscreener. In line with HAL's confidentiality norms, no internal, restricted or confidential information encountered during the internship has been used.

4.1 Analytical techniques

- **Ratio & trend analysis** of every parameter family across the five-year window.
- **Ratio-first comparison.** Because the firms report in three currencies and at different scales, percentages and multiples are the primary tool; absolute figures are contextual only, with FX stated as an explicit assumption.
- **Common-size statements** to normalise income-statement structure across companies of very different size.
- **Adjustment lenses.** Dassault is presented on both a reported and an ex-Thales basis; Lockheed's classified-program charges and buyback-thinned equity are flagged where they distort headline ratios.
- **DuPont decomposition** of ROE into margin, asset turnover and leverage (Section 5.2).
- **Benchmarking scorecard** grading HAL against each peer on every parameter family (Section 6).
- **Qualitative overlay** linking the financial findings to strategic context — the Tejas programme, exports, supply chain and IP ownership.

4.2 Key assumptions

- **Fiscal-year alignment.** HAL closes on 31 March; Dassault and Lockheed on 31 December. Years are aligned on a nearest-reporting-year basis (HAL FY22 ↔ CY2021, etc.). The ~9-month offset is immaterial to multi-year trend comparison.
- **Currency.** Indicative average rates of USD/INR ≈ 85 and EUR/USD ≈ 1.08 are used wherever a USD-equivalent is shown for context. These do not affect the ratio analysis.
- **Dassault basis.** Dassault's headline 'adjusted' figures are used for consistency with its own primary reporting, with an ex-Thales view added for comparability.

5. Financial Parameter Analysis

5.1 Profitability

On profitability HAL is the clear leader. Its net margin expanded from roughly 21% to 27% across the window, driven by a richer product mix as manufacturing (and the Tejas ramp) grew as a share of revenue, by strong other income on a large cash pile, and by a near-zero interest burden. Lockheed moved in the opposite direction, with net margin eroding from about 10% toward 7% as fixed-price classified-program losses bit; and Dassault's reported margin, while optically high, is materially lifted by equity income from its Thales stake rather than by aircraft manufacturing.

Revenue	Y1	Y2	Y3	Y4	Y5
HAL (₹ cr)	24,620	26,927	30,381	30,981	33,089
Dassault (€ m)	7,234	6,930	4,805	6,212	7,424
Lockheed (\$ m)	67,044	65,984	67,571	71,043	75,048

Table 3 — Revenue in native currency; compared by trend and ratio, not absolute level.

Net profit margin	Y1	Y2	Y3	Y4	Y5
HAL	20.6%	21.6%	25.1%	27%	27.5%
Dassault — reported	9.6%	12%	18.4%	17%	14.3%
Dassault — ex-Thales	4.9%	6.4%	9.1%	8.8%	7.1%
Lockheed Martin	9.4%	8.7%	10.2%	7.5%	6.7%

Table 4 — Net margin. The ex-Thales line approximates Dassault's underlying manufacturing profitability.

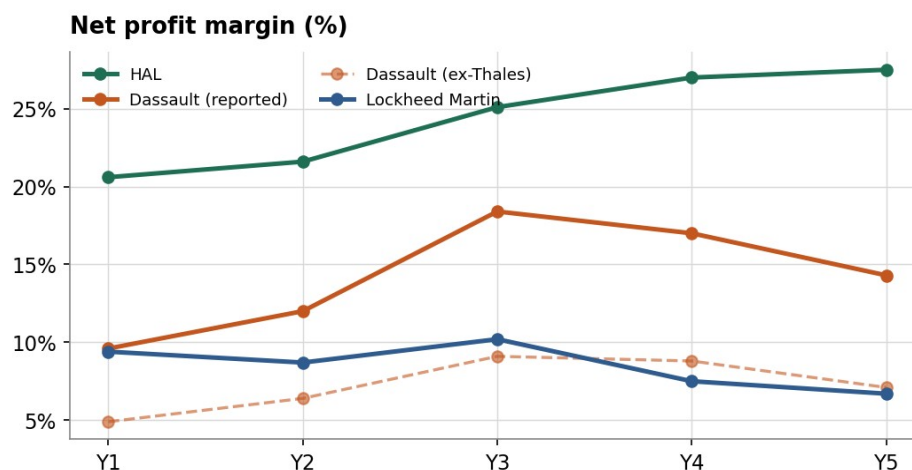


Figure 1 — Net profit margin. HAL leads throughout; Dassault's true operating profitability (dashed) sits well below its reported line.

Reading Dassault correctly. Around €500 million of Dassault's roughly €1 billion net income in the latest year is the equity-method contribution from Thales, not aircraft manufacturing. Stripping that out, Dassault's underlying net margin is about 7% — below HAL's. Its operating margin of 8–9% is the cleanest like-for-like manufacturing comparison, and it sits far below HAL's EBITDA margin of around 30%.

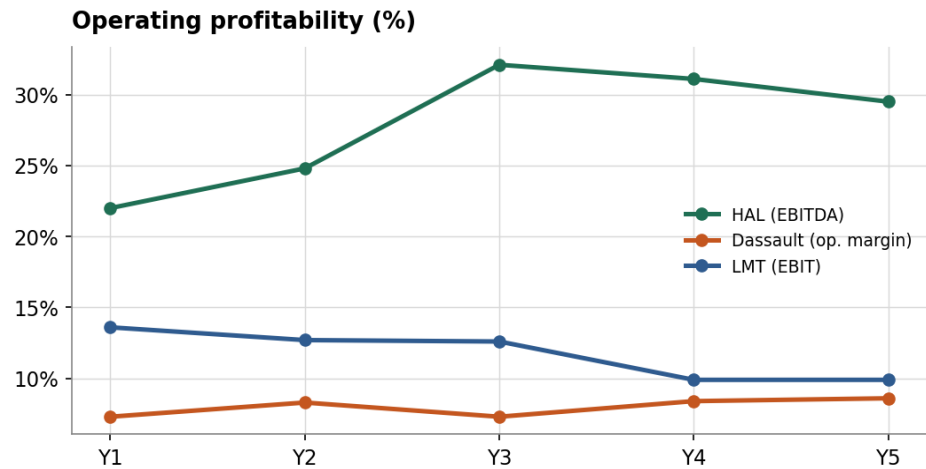


Figure 2 — Operating profitability. HAL's ~30% EBITDA margin reflects licence-production economics and overhead absorption on a captive order base.

5.2 DuPont decomposition of returns

Headline return ratios can mislead, so it is worth decomposing return on equity into its three drivers — net margin, asset turnover, and the equity multiplier (leverage) — under the DuPont framework. The exercise is revealing.

Company (latest yr)	Net margin	Asset turnover	Equity multiplier	= ROE
HAL	27.5%	0.25×	3.23×	22.2%
Dassault*	14.3%	0.35×	4.77×	~23.9%
Lockheed Martin	6.7%	1.36×	8.21×	74.9%

Table 5 — DuPont decomposition. *Dassault asset/equity figures approximate; multiplication is indicative with rounding.

DuPont decomposition of ROE (ROE = margin × turnover × leverage)

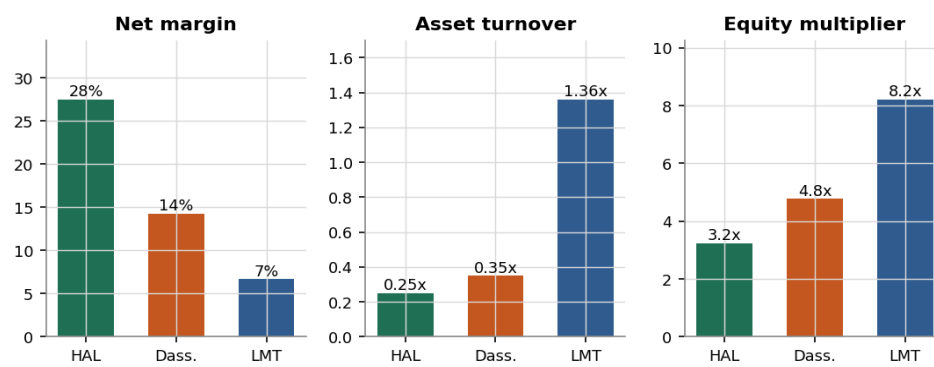
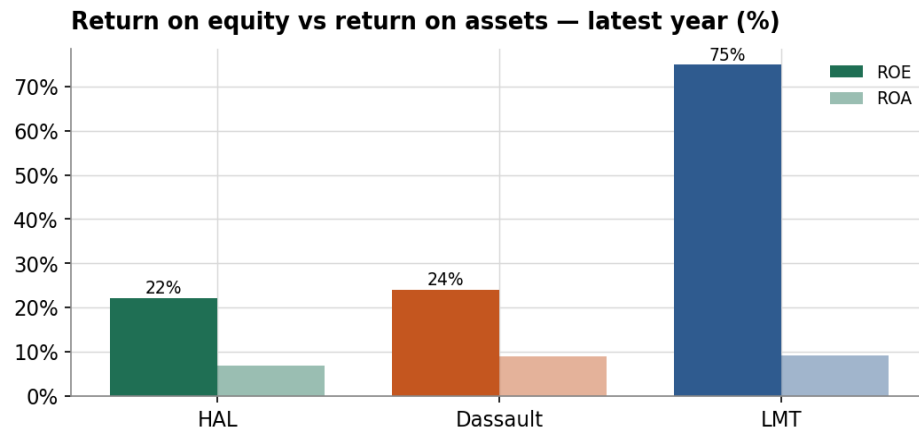


Figure 3 — DuPont drivers. HAL and Dassault reach a similar ROE (~22–24%) by very different routes; Lockheed's ~75% is overwhelmingly a leverage effect.

Interpretation. HAL earns its ~22% ROE primarily through high margin, with only modest asset turnover and almost no leverage — the highest-quality of the three return profiles. Dassault reaches a similar ROE with lower margin but a little more turnover and leverage. Lockheed's headline ROE near 75% is produced almost entirely by an equity multiplier above 8× — a direct consequence of years of debt-funded buybacks that have shrunk its equity base — not by superior operations. On a return-on-assets basis, which neutralises leverage, the ranking inverts toward HAL. The lesson for HAL management is that its returns are earned rather than engineered, which is a genuine strategic asset, but also that it has untapped, conservative capacity to deploy capital more aggressively should attractive growth investments arise.



LMT ROE distorted upward by buyback-thinned equity; HAL on a fortress balance sheet.

Figure 4 — ROE vs ROA. Lockheed's ROE is flattered by thin equity; ROA (~9%) is the fairer cross-company read.

5.3 Liquidity & solvency

Both HAL and Dassault sit on large net-cash positions. HAL is effectively debt-free, carrying borrowings of barely ₹11 crore against a balance sheet of ₹1.3 lakh crore, supported by substantial customer advances. Lockheed is the outlier, running net debt of roughly 1.9–2.1 times EBITDA after years of debt-funded buybacks. On solvency, HAL and Dassault carry essentially no leverage risk; Lockheed's leverage is manageable given its stable, contracted cash flows, but it is a real structural difference and a constraint on financial flexibility in a downturn.

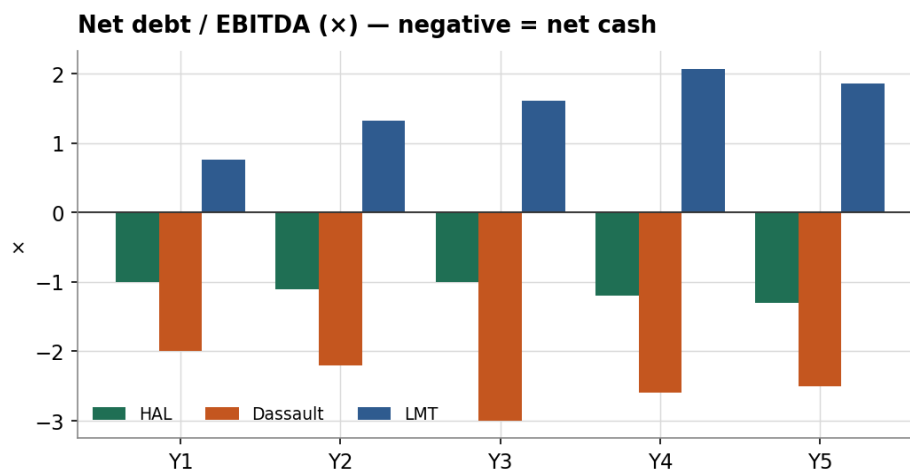


Figure 5 — Net debt / EBITDA. Negative bars denote net cash. HAL and Dassault are net-cash; Lockheed carries real leverage.

A caveat on HAL's liquidity ratios. HAL's published balance sheet does not split current and non-current items as granularly as its private-sector peers, and a large share of its 'other liabilities' represents customer advances on long-cycle contracts. Reported current and quick ratios for HAL should therefore be read with care. The debt and net-cash picture, by contrast, is unambiguous and reliable: HAL has one of the strongest balance sheets in the global sector.

5.4 Efficiency & working capital

This is HAL's clearest relative weakness, and the most actionable. Inventory days run near 780 and the cash-conversion cycle lengthened toward 700-plus days over the window — extreme by general-manufacturing standards, though characteristic of long-gestation defence production in which work-in-progress accumulates across multi-year build cycles. Critically, receivable days have actually improved to around 45, so the pressure is overwhelmingly on inventory and work-in-progress, not on collections from a reliable government customer.

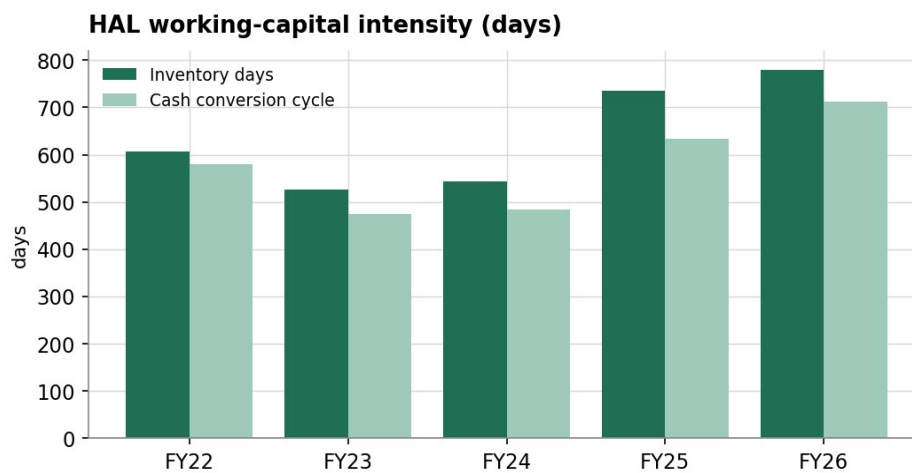


Figure 6 — HAL working-capital intensity. The widening gap between inventory days and the cash-conversion cycle is the single biggest cash-efficiency lever available to management.

Dassault manages a similar long-cycle model with less reported lock-up, because very large export-Rafale advances offset its work-in-progress. Lockheed, with mature high-rate production lines, turns working capital far faster than either. The implication for HAL is not that its model is broken but that even modest improvements in inventory turns would release substantial cash — directly relevant to self-funding the Tejas scale-up. The accompanying Excel workbook includes an interactive scenario tool that quantifies this lever under user-selected assumptions.

5.5 Growth, order book & investment

HAL posted the strongest revenue CAGR of the three (~7.7%) against Lockheed's ~2.9% and Dassault's lumpy ~0.7%. Dassault's revenue swings sharply year to year with Rafale delivery timing — dipping to roughly €4.8 billion in one year before recovering above €7 billion — whereas HAL's trajectory is the steadiest. All three carry record or near-record order books, giving multi-year revenue visibility.

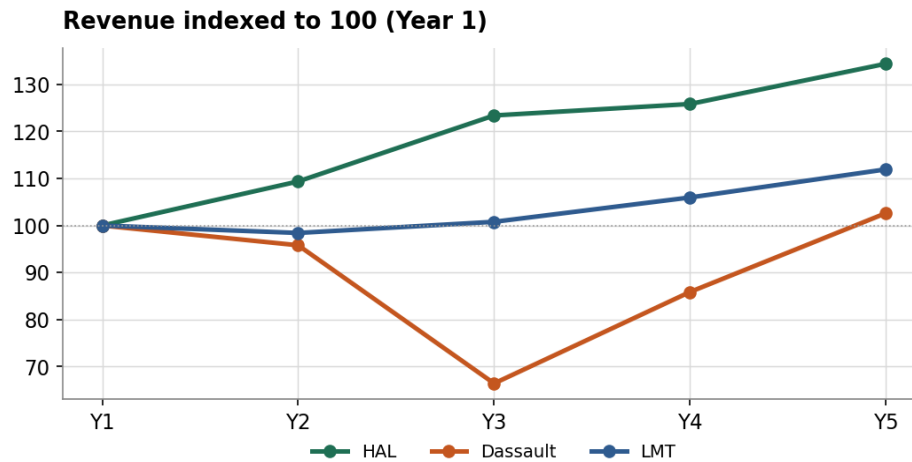


Figure 7 — Revenue rebased to 100. HAL shows the steadiest upward path; Dassault the most volatile.

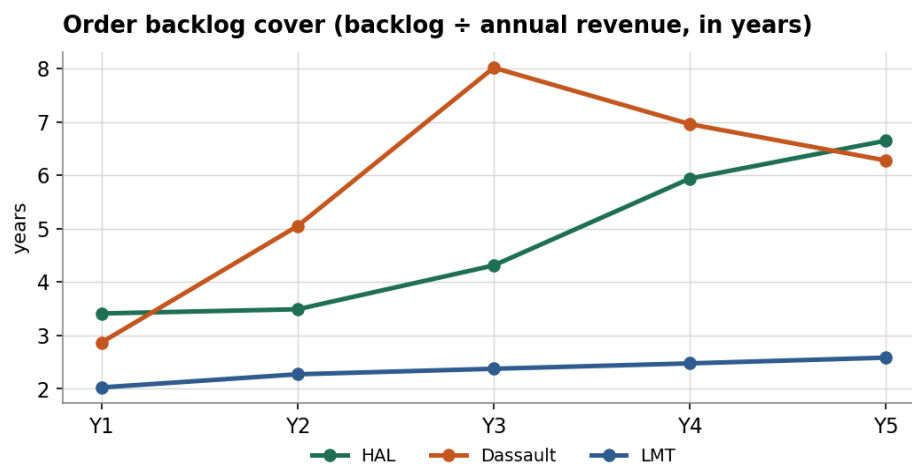


Figure 8 — Order-book cover (backlog ÷ annual revenue). All three enjoy multi-year visibility; Dassault's cover is deepest, driven by export Rafale.

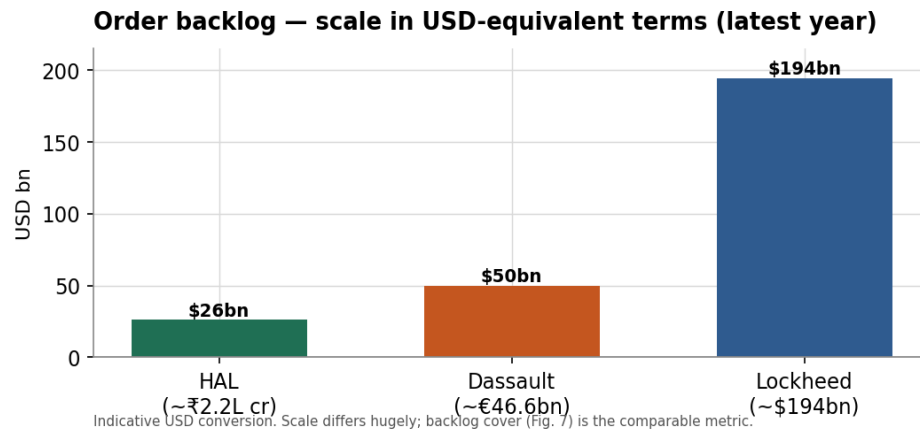


Figure 9 — Backlog in USD-equivalent terms. Scale differs enormously; backlog cover (Fig. 8) is the comparable metric.

On investment intensity, the most important point is R&D — and it is also the most easily misread.

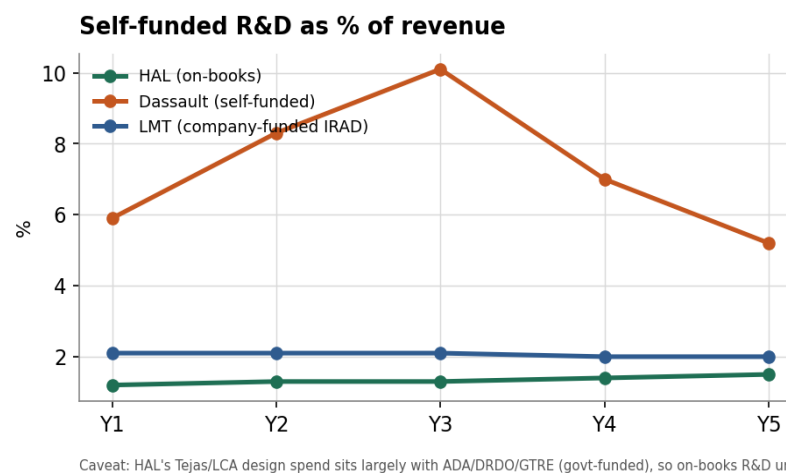


Figure 10 — Self-funded R&D as % of revenue. HAL's on-books figure looks low, but understates true effort (see caveat).

The R&D caveat — central to the Tejas story. HAL's on-books R&D as a share of revenue looks modest beside Dassault's self-funded ~8–10% and Lockheed's company-funded ~2% IRAD. But this is structural, not evidence of under-investment: a large part of the LCA/Tejas design and development effort is carried by government agencies — the Aeronautical Development Agency (ADA), DRDO, and GTRE for the engine — and funded directly by the government rather than appearing on HAL's profit-and-loss account. Presented naively, HAL would appear to spend almost nothing on innovation, which is misleading. The real issue for HAL is less the quantum of R&D than its ownership of intellectual property and design authority, which determines how much of the Tejas value chain — and its export economics — HAL ultimately controls.

5.6 Per-share & market metrics

Market metric	EPS (latest)	Rev CAGR	Div. payout	P/E (approx)
HAL	₹136.3	7.7%	~26–32%	~31×
Dassault	€13.60	0.7%	~35%	~13×
Lockheed Martin	\$21.49	2.9%	~50%+	~22×

Table 6 — Market metrics. HAL trades at a growth premium; Dassault is cheapest on earnings; Lockheed returns the most cash.

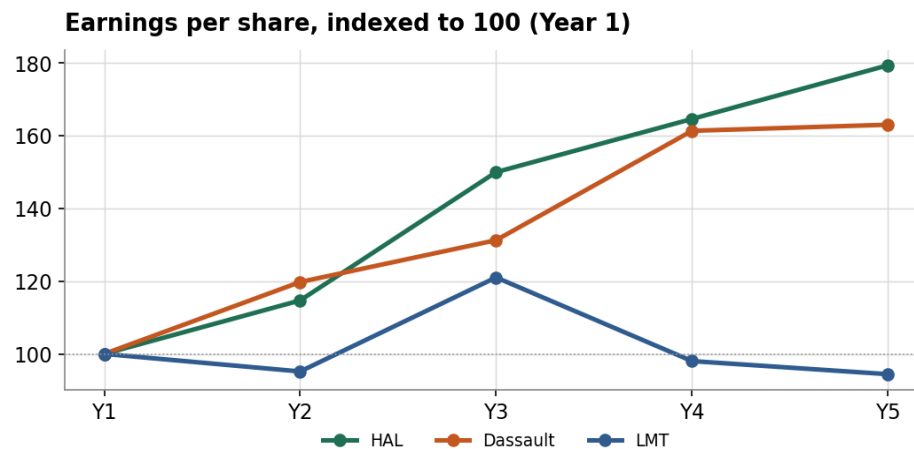


Figure 11 — EPS indexed to 100. HAL's earnings per share nearly doubled over the window; Lockheed's was broadly flat.

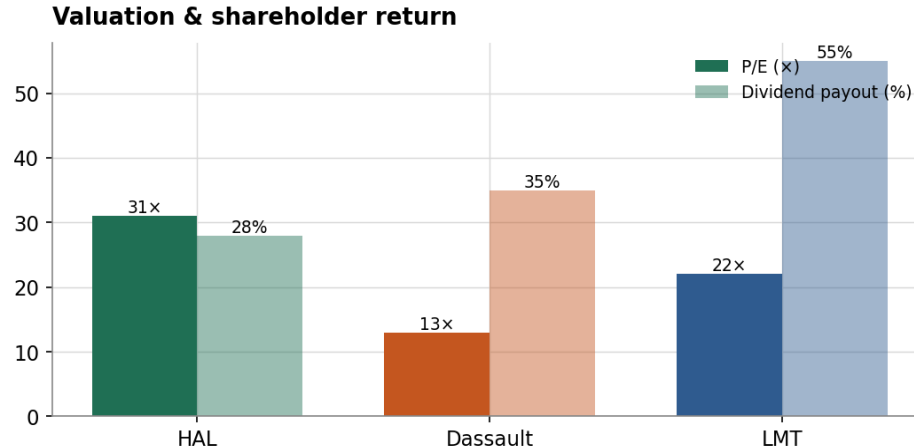


Figure 12 — Valuation and shareholder return. HAL's premium multiple prices in growth; Lockheed prioritises cash return.

HAL's premium P/E (~31×) versus Dassault (~13×) and Lockheed (~22×) reflects the market pricing in high growth, indigenisation tailwinds and best-in-class margins. Strikingly, HAL's market capitalisation (~\$34 billion) exceeds Dassault's (~\$15 billion) despite HAL earning roughly half Dassault's revenue — a powerful endorsement of HAL's margin and growth profile, but also a reminder that the expectations embedded in the price are high and contingent on delivery execution. Lockheed and Dassault return far more cash to shareholders, consistent with their lower growth and (for Lockheed) mature franchise.

5.7 Segment mix & revenue composition

Segment disclosure differs sharply across the three. Lockheed provides granular four-segment reporting; Dassault splits defence and civil (Falcon); HAL, as a PSU, discloses less granularly, though its filings indicate a rising manufacturing share — moving from roughly a fifth toward a quarter of revenue — as the Tejas and other manufacturing programmes ramp, with the balance in repair, overhaul and services.

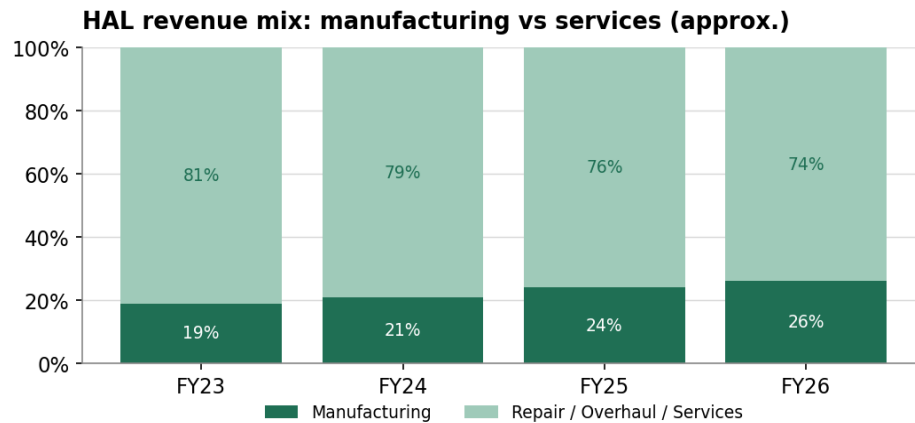


Figure 13 — HAL revenue mix, manufacturing vs services (approximate, from disclosures). The rising manufacturing share is margin-accretive and tied to the Tejas ramp.

The strategic read is that HAL's mix is shifting in a favourable direction — manufacturing is generally higher-value than routine overhaul — but it remains far less diversified than Lockheed's portfolio and carries more single-platform and single-customer concentration than Dassault's defence-plus-civil split. Deliberately growing higher-margin services (lifecycle support, upgrades) and any civil or export adjacencies would reduce the lumpiness inherent in fighter-delivery revenue.

6. Comparative Benchmarking Scorecard

HAL is graded A–D on each parameter family against each peer (A = HAL clearly stronger; D = HAL clearly weaker). Grades are relative and read 'HAL versus that peer.'

Parameter	HAL vs Dassault	HAL vs Lockheed	Comment
Profitability (margins)	A	B	HAL clearly ahead; Dassault flattered by Thales
Returns quality (ROA/ROCE)	A	B	HAL high-quality; LMT ROE engineered via leverage
Liquidity / net cash	A	A	HAL & Dassault net-cash; LMT levered
Solvency / leverage	A	B	HAL near debt-free
Efficiency / working capital	D	C	HAL's main weakness — inventory lock-up
Revenue growth	A	B	HAL fastest & steadiest
Order-book visibility	B	A	All strong; Dassault deepest cover
R&D intensity (on-books)	C	D	Misleading — much HAL R&D off-books (ADA/DRDO)
IP / design authority	C	D	Peers own platform IP; HAL partly dependent
Diversification	D	B	HAL & Dassault concentrated; LMT broad
Capital return to holders	B	A	LMT & Dassault higher payout
Valuation support / growth premium	A	A	Market already rewards HAL's profile

Table 7 — Benchmarking scorecard (A = HAL stronger → D = HAL weaker, relative to that peer).

The pattern is consistent. HAL wins decisively on profitability, returns quality, balance-sheet strength and growth; it trails on working-capital efficiency, diversification, IP/design authority, and — on an unadjusted, on-books basis — R&D intensity and shareholder payout. The strategic value of this scorecard is that the weaknesses, not the strengths, are where focused management effort compounds: each is addressable, and several are interlinked (working capital, supply chain and delivery cadence form one cluster; IP, R&D and export competitiveness form another).

7. Strategic Tie-in: Implications for the LCA Tejas Programme

This section translates the financial picture into the Tejas context, balancing the three angles requested — production economics, R&D/funding, and export competitiveness.

7.1 Production economics & scale-up

HAL's ~30% EBITDA margin gives it ample internal profitability to fund the Tejas Mk1A ramp, and its net-cash balance sheet means scale-up need not rely on external borrowing. The binding constraint is not capital but throughput. The working-capital and inventory-day metrics in Section 5.4 are the financial signature of a production system in which work-in-progress and supply inputs — notably engines and avionics — accumulate faster than finished aircraft roll out. Every turn of improvement in inventory days releases cash and shortens the gap between order intake and revenue recognition. In other words, the metric that looks like HAL's weakness is also its clearest opportunity: operational improvement in the Tejas line shows up directly as both faster deliveries and released cash.

7.2 R&D funding & IP ownership

The R&D caveat is decisive for Tejas. Because core design authority for the LCA has historically sat with ADA/DRDO and the engine with GTRE, HAL's books understate development spend — but HAL also does not fully own the platform's design IP. For the Mk2, AMCA and any export variant, the degree to which HAL holds design authority, can self-fund incremental development, and can offer source-code or IP access to foreign buyers will shape both its margins and its competitiveness. Dassault's model is instructive: it self-funds R&D heavily (around 8–10% of sales) precisely because owning the Rafale's IP is what lets it sell, continuously upgrade, and profitably support the aircraft worldwide across a multi-decade lifecycle. The financial upside of moving up this curve is not abstract — it is the difference between building to others' designs at production margins and capturing the full lifecycle value of a platform.

7.3 Export competitiveness

In the export arena Tejas competes most directly with Dassault's Rafale at the upper end and Saab's Gripen on price and segment. Dassault's backlog illustrates what a mature export franchise looks like: the large majority of its backlogged Rafale are for export customers, and the associated advances fund production while smoothing the very working-capital problem HAL struggles with. Tejas's export case rests on three pillars: competitive unit cost (where HAL's margin headroom genuinely helps), assured delivery cadence (where HAL must still prove itself), and an attractive support-and-IP package (where the funding-and-IP model above becomes the differentiator). HAL's pricing flexibility is real, but it converts into orders only if delivery reliability and offset/industrial-partnership terms match those of entrenched incumbents.

7.4 Synthesis for the Tejas programme

Put together, the financial analysis points to a coherent Tejas strategy: use HAL's margin and balance-sheet strength as the funding engine; attack working capital and supply-chain throughput to convert a record order book into reliable deliveries; and invest deliberately in design authority and IP so that Tejas can be sold, upgraded and supported as a sovereign export product rather than a domestic licence build. Each of these is reflected in the prioritised recommendations in Section 10.

8. Risk Assessment

The following risks qualify the otherwise strong financial picture and should be read alongside the recommendations.

Risk	Likelihood	Impact	Mitigation / commentary
Engine & critical-component supply (Tejas)	High	High	Diversify/qualify vendors; buffer long-lead items; treat as board KPI
Delivery slippage vs premium valuation	Medium	High	Convert backlog to on-time deliveries; align investor messaging to cadence
Single-customer concentration	Medium	Medium	Grow MRO/services and exports to diversify revenue
Working-capital cash lock-up	High	Medium	Inventory/WIP reduction programme (see scenario tool)
IP / design-authority dependence	Medium	High	Negotiate design authority on Mk2/AMCA; build self-funded R&D
FX & cross-currency comparability	Low	Low	Analysis is ratio-led; FX disclosed as assumption
Policy / budget cyclicalities	Low	Medium	Indigenisation policy is a durable tailwind, but budget timing varies

Table 8 — Indicative risk register. Likelihood/impact are analyst judgements for discussion, not formal risk ratings.

9. Key Findings — HAL's Relative Strengths and Gaps

9.1 Strengths

- **Best-in-class, high-quality profitability** — net margin ~27% and EBITDA margin ~30%, ahead of both peers on a like-for-like basis and earned operationally rather than through financial engineering.
- **Fortress balance sheet** — effectively debt-free with a large net-cash buffer, giving self-funding capacity for the Tejas ramp.
- **Fastest, steadiest growth** — revenue CAGR ~7.7% with a record order book providing multi-year visibility.
- **High-quality returns** — ROE driven by margin rather than leverage; ample unused, conservative balance-sheet capacity.
- **Structural policy tailwind** — indigenisation policy and a near-captive domestic customer underpin demand.

9.2 Gaps

- **Severe working-capital intensity** — inventory days ~780 and a cash-conversion cycle ~700+ days lock up cash and lengthen order-to-revenue conversion.
- **Customer & product concentration** — revenue overwhelmingly domestic and defence; minimal civil or export diversification.
- **Design-authority / IP dependence** — reliance on ADA/DRDO/GTRE for core design limits HAL's control of the Tejas value chain and export terms.
- **Delivery-execution risk** — a rich order book and premium valuation raise the cost of any production slippage, much of it tied to the engine/vendor supply chain.

10. Recommended Focus Areas for HAL

Prioritised from highest to lower near-term financial impact. A phased roadmap follows.

- 1. Attack working capital, starting with inventory/WIP.** A structured programme — supplier-managed inventory for high-value bought-outs, WIP staging tied to delivery milestones, and digital production tracking — is the single largest cash-release lever and directly accelerates Tejas Mk1A throughput. Even a 10–15% cut in inventory days would free substantial cash without touching margins (quantified in the workbook's scenario tool).
- 2. Secure the engine & critical-vendor supply chain.** Delivery cadence is the binding constraint; the Tejas engine supply and the Tier-2/3 vendor base are the chokepoints. Qualify and deepen the domestic vendor base, build buffers for long-lead items, and elevate supply-chain resilience to a board-level KPI.
- 3. Move up the IP / design-authority curve.** Invest toward greater HAL ownership of design authority on Mk2/AMCA and self-funded incremental development. This is what converts strong production margins into durable export competitiveness, following the Dassault template of owning platform IP.
- 4. Build a genuine export franchise.** Use HAL's unit-cost advantage against Gripen/Rafale, paired with credible delivery guarantees, lifecycle support packages and offset/industrial-partnership offers. Export advances would also help fund production and ease working capital, as they do for Dassault.
- 5. Diversify the revenue mix deliberately.** Grow higher-margin MRO/services, upgrades and engine/accessories streams, and explore civil/dual-use adjacencies, to reduce single-customer concentration and smooth delivery lumpiness.
- 6. Reframe the narrative around delivery reliability.** With a premium valuation already pricing in growth, HAL's financial credibility now depends less on winning orders than on demonstrably converting backlog into on-time deliveries; internal KPIs and investor communication should pivot accordingly.

10.1 Phased implementation roadmap

Horizon	Focus	Actions	Financial signal to track
0–12 months	Cash & throughput	Inventory/WIP reduction pilot; long-lead buffers; vendor qualification	Inventory days; cash-conversion cycle; FCF
1–2 years	Supply chain & mix	Scale vendor base; grow MRO/upgrades; delivery-cadence KPIs	Delivery counts; services margin; book-to-bill
2–4 years	IP & exports	Design-authority on Mk2/AMCA; export campaigns with support/IP packages	Self-funded R&D %; export order intake
4+ years	Diversification	Civil/dual-use adjacencies; lifecycle-value capture	Revenue concentration; segment mix

Table 9 — Indicative phased roadmap linking each recommendation to a trackable financial signal.

11. Conclusion

Across five years of public data, HAL emerges as the most profitable and most financially resilient of the three companies, with the fastest growth and the strongest balance sheet — but also the most concentrated, the most working-capital-intensive, and the most dependent on government-funded design authority. Dassault demonstrates the value of owning platform IP and a deep export franchise; Lockheed demonstrates scale, diversification and aggressive capital return, albeit with engineered returns and real leverage. For HAL, the path from strong financials to strategic leadership in the Tejas programme runs through four linked levers: cash efficiency, supply-chain reliability, IP ownership, and exports. Each is identifiable, each is measurable, and together they convert a protected, profitable position into a globally competitive one.

12. Limitations of the Study

- Differing accounting standards (Ind AS / IFRS / US GAAP) mean some line items — notably R&D capitalisation and revenue recognition — are not perfectly comparable; treatment differences are flagged rather than fully reconciled.
- Currency and FX volatility affect any absolute cross-currency comparison; the analysis is deliberately ratio-led to mitigate this.
- HAL's PSU disclosure is less granular on current/non-current splits and segment detail than its private peers, so its liquidity ratios and segment mix are approximate.
- Dassault's reported earnings include substantial equity-method income from Thales and full export-Rafale revenue recognition; the ex-Thales adjustment shown is itself an estimate.
- Lockheed's results carry lumpy classified-program charges and a buyback-thinned equity base that distort net margin and ROE; these are annotated where relevant, and DuPont/asset-based metrics are used to compensate.
- Order-book, R&D, segment-mix and certain market figures are approximate where exact public disclosure is limited; the ~9-month fiscal-year offset is bridged on a nearest-year basis.

13. References

Hindustan Aeronautics Limited — Annual Reports and BSE/NSE financial filings, FY2022–FY2026; investor-relations disclosures and earnings-call materials.

Dassault Aviation — Annual Financial Reports and Financial Releases 2021–2025; Consolidated Financial & Operating Highlights; Euronext Paris regulated information.

Lockheed Martin Corporation — Form 10-K and quarterly earnings releases 2021–2025 (SEC EDGAR); investor-relations disclosures.

Cross-checking aggregators (for verification of computed ratios only): Screener.in; Macrotrends; Marketscreener; stockanalysis.com.

Note: This report is an academic / internship analysis based solely on publicly disclosed information. It is not investment advice. All trademarks belong to their respective owners.

Appendix A — Ratio Tables & Workings

A1. HAL — five-year summary (₹ crore, consolidated)

Metric	FY22	FY23	FY24	FY25	FY26
Revenue	24,620	26,927	30,381	30,981	33,089
EBITDA	5,415	6,686	9,752	9,621	9,770
Net profit	5,080	5,828	7,621	8,364	9,116
EBITDA margin	22%	24.8%	32.1%	31.1%	29.5%
Net margin	20.6%	21.6%	25.1%	27%	27.5%
ROE	26.3%	24.7%	26.2%	23.9%	22.2%
ROA	8.4%	8.4%	9.4%	7.7%	6.9%
ROCE	30%	31%	39%	34%	32%
Inventory days	607	527	544	736	780
Receivable days	69	64	55	55	45
Payable days	96	116	116	156	112
Cash-conv. cycle	580	475	484	634	713
EPS (₹)	75.96	87.14	113.96	125.07	136.3

Table A1 — HAL key metrics, FY22–FY26.

A2. Lockheed Martin — five-year summary (\$ million)

Metric	2021	2022	2023	2024	2025
Revenue	67,044	65,984	67,571	71,043	75,048
Net income	6,315	5,732	6,920	5,336	5,017
Gross margin	13.5%	12.6%	12.5%	10.7%	9.8%
EBIT margin	13.6%	12.7%	12.6%	9.9%	9.9%
Net margin	9.4%	8.7%	10.2%	7.5%	6.7%
ROA	12.4%	10.8%	13.2%	9.9%	9.1%
Net debt	8,072	12,882	16,017	17,787	17,579
FCF	7,699	6,132	6,229	5,287	6,908
EPS (\$)	22.76	21.66	27.55	22.31	21.49

Table A2 — Lockheed Martin key metrics, 2021–2025.

A3. Dassault Aviation — five-year summary (€ million, adjusted)

Metric	2021	2022	2023	2024	2025
Adj. net sales	7,234	6,930	4,805	6,212	7,424
Adj. net income	693	830	886	1,056	1,061

Metric	2021	2022	2023	2024	2025
of which Thales	336	386	450	507	534
Op. margin	7.3%	8.3%	7.3%	8.4%	8.6%
Net margin (rep.)	9.6%	12%	18.4%	17%	14.3%
Net margin (ex-Thales)	4.9%	6.4%	9.1%	8.8%	7.1%
Self-funded R&D	430	572	483	437	389
Backlog (€ m)	20,760	35,000	38,508	43,224	46,600
EPS (€)	8.34	9.99	10.95	13.46	13.6

Table A3 — Dassault Aviation key metrics, 2021–2025 (adjusted basis).

Appendix B — Assumptions, Formulae & Glossary

B1. FX assumptions

Pair	Indicative rate	Use
USD / INR	≈ 85	USD-equivalents for HAL context only
EUR / USD	≈ 1.08	USD-equivalents for Dassault context only
EUR / INR	≈ 92	Cross-context reference

Table B1 — FX is used only for indicative scale context; all ratio comparisons are currency-neutral.

B2. Key formulae used

- Net margin = Net profit ÷ Revenue. EBITDA margin = EBITDA ÷ Revenue.
- ROE = Net profit ÷ Shareholders' equity. ROA = Net profit ÷ Total assets. ROCE = EBIT ÷ Capital employed.
- DuPont: ROE = Net margin × Asset turnover × Equity multiplier (Assets ÷ Equity).
- Cash-conversion cycle = Inventory days + Receivable days – Payable days.
- Revenue CAGR = $(\text{End} \div \text{Start})^{(1 \div \text{years})} - 1$. Backlog cover = Order backlog ÷ annual revenue.
- Net debt / EBITDA = (Debt – Cash) ÷ EBITDA; negative denotes a net-cash position.

B3. Glossary

- **Book-to-bill** — order intake divided by revenue; above 1.0 means the backlog is growing.
- **Equity method** — accounting by which Dassault books its share of Thales' profit in its own income statement.
- **IRAD** — Independent Research & Development; company-funded R&D (as distinct from customer-funded).
- **ADA / DRDO / GTRE** — Indian government agencies responsible for much of the LCA/Tejas airframe and engine development.
- **Common-size statement** — financials expressed as a percentage of revenue (or assets) for cross-company comparability.

End of report.